

THE ROAD AHEAD

- 1 Needs to strengthen balance sheet and reduce debt
- 2 Could divest equity in group firms to raise funds
- 3 Needs to review immediate growth/expansion plans
- 4 Markets to closely monitor loan repayments
- 5 ESG, sustainability compliance needs to be prioritised

CONFIDENCE-BUILDING MEASURES

- Prepaid \$1.1 billion to release pledged shares
- Share pledges were due for maturity in September 2024
- Coupon payments on dollar-denominated bonds done on schedule
- Adani Group mulling independent assessment of its firms
- Assessment to look into compliance with all requisite regulations
- Highlighting strong guidance, cash flows in latest financial results
- FPO withdrawal will not affect existing business, future plans, says Gautam Adani

GAUTAM ADANI, 60, is like the proverbial cat with nine lives. The highly controversial school dropout-turned-global business tycoon has faced countless challenges in his lifetime, even death, and only emerged stronger. In 2008, the Adani Group Chairman and Founder survived the 26/11 terrorist attack at Mumbai's Taj Mahal hotel, where he was dining when the attackers struck. A decade prior, on New Year's Day of 1998, Adani was kidnapped by two gangsters in Ahmedabad, and was held to ransom. Whether he paid the ransom or not is not known. Neither is it consequential.

What's important is: he survived. Both times.

Will he survive Hindenburg? There is no evidence to suggest anything to the contrary, at least not yet, albeit the Adani empire has shrunk dramatically since the US-based short-selling research firm's allegations of accounting fraud, stock manipulation and routing of funds through overseas shell companies were revealed in its report on January 24 (*see chart 'Hindenburg Alleges...'*). Despite a 413-page rebuttal to the charges, which Hindenburg dismissed as inconsequential, Adani's listed firms were battered by the markets, recovering now and then only to plunge further on more bad news. All through this mayhem, the burly billionaire has maintained a stoic posture, once in a while floating a confidence-building measure here, and another there (*see chart 'Confidence-Building Measures'*).

On January 27, three days after the Hindenburg assault, the ₹2.4-lakh crore Adani Group's mother-ship, Adani Enterprises, opened its much-anticipated ₹20,000-crore follow-on public offering (FPO).

But with the circumstances having changed, the management deliberated on whether to look at overseas markets to raise money, shelve the issue altogether, or lower the offer price. In the end, Adani and his 'A' team stuck to their guns and went ahead as originally planned. After much huffing and puffing, the FPO scraped through on the last day, January 31, with a subscription of 1.12 times, thanks to sustained bidding by institutions, family offices and high net-worth individuals.

The same day, even as Adani Enterprises' FPO hobbled past the finish line, Gautam Adani was pictured in Israel with its Prime Minister Benjamin Netanyahu, smiling assuredly as his Indian conglomerate acquired Israel's key Haifa port for \$1.2 billion. Adani was trying to send a signal to the markets—this was just another day at the office; he was on top of the situation. After all, his group spans key infrastructure segments like airports, ports, roads, power and cement, among other things, which have physical assets generating enough cash to stave off any worries. Under normal circumstances.

But circumstances were not normal and, clearly, Adani's signals were not having their desired effect. On February 1, global banks like Credit Suisse, Citi and Standard Chartered stopped accepting Adani's bonds and securities as collateral, resulting in a hammering of group stocks. The same day, the group called off the FPO. Shares of Adani Enterprises, which had touched a high of ₹4,189 in December 2022, plunged to a 52-week low of ₹1,017 on February 3 (both intra-day trading figures). Since January 24, when the Hindenburg report became public, shares of Adani Enterprises, Adani Green Energy, Adani Total Gas